UMEÅ UNIVERSITY

Monthly Electricity Consumption Forecasting Using an Explainable AI Framework

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Abstract

Checklist for final touches:

- Fix placing of figures and tables
- Clean up references
- (Center page content?)

Acknowledgements

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1 Introduction

In recent years, the Swedish electricity market has been affected by large variations in price and periodically high electricity costs[1][2]. This has increased the need for customers to understand and influence their electricity consumption and future electricity costs.

With the emergence of environmental problems due to climate change, sustainable energy management is becoming increasingly important [1, 2]. The ability for customers to understand and influence their household energy consumption is significant for sustainable energy use. Household energy consumption makes up a considerable part of the total energy consumption, approximately 30% in some European and American countries. Managing household energy more efficiently has large potential in saving energy, since it is estimated that 27% of energy used by households can be saved through more efficient use [3].

[Something about how the energy demand in the world is increasing]

[Something about how forecasting electricity consumption can help users make smart decisions about their consumption, both saving money and benefitting the environment.]

[Something about monthly forecasting and why that is useful]

For users, the ability to have confidence in the forecast is important. Users may, for example, question how the forecasting mechanism makes decisions, or question what factor is the most determining in the forecast. A system that can explain such things to the user is able to increase its reliability with users. Handling users' data in a safe and transparent manner is also important when implementing Artificial Intelligence (AI) based systems. Citizens of the European Union have a right to transparency and information about the decision-making of AI models that have a direct link to them, as outlined in the General Data Protection Regulation [4]. [Something about how XAI helps with these things]

Previous research has identified various models for predicting electricity consumption, both statistical and AI based [5, 6]. In recent years, increasing interest has been shown for AI solutions to energy consumption forecasting, due to their strength in handling nonlinear problems [4, 5]. Forecasts are often based on several factors such as weather conditions and building conditions, causing nonlinear patterns that statistical methods struggle with [5]. However, one disadvantage with AI methods is the black-box nature of the models which causes a lack of transparency and interpretability in the decision-making process. To solve the problem of elucidating the internal process and decision-making of AI algorithms, the field of explainable AI (XAI) has emerged within recent years. XAI methods are able to open up the black box, and provide explanations for why a model predicts a certain way [7].

[1] Allhorn, J., Tidningen Näringslivet: Chockvändningen: Nu har norra Sverige högst elpriser - "Har förändrats ganska snabbt" (January 2026). https://www.tn.se/inrikes/46369/chockvandningen-nu-har-norra-sverige-hogst-elpriser-har-forandrats-ganska-snabbt/

[2] Rydegran, E., Energiföretagen: Dramatik och rekord sammanfattar Elåret 2022 (December 2022). https://www.energiforetagen.se/pressrum/pressmeddelanden/2022/Dramatik-och-rekord-sammanfattar-Elaret-2022/

[To address this need, Umeå Energi has worked on developing and improving their interfaces for customers, for example by developing an application for private customers. According to customer analytics from Umeå Energi, a highly requested feature is to receive an estimation of both the electricity consumption and the electricity cost before the invoice arrives. Currently, Umeå Energi has developed a linear regression model to forecast the consumption for the current month. The model is based on historical consumption and temperature, aggregated by month. For certain customer groups, Umeå Energi has access to high definition measurement data where customer electricity consumption is registered on a 15-minute level, which creates opportunities for more advanced modeling. There may also be other factors, apart from historical consumption, that affect the electricity consumption, for example weather data, calendar information (holidays etc.), and energy prices.]

[This Master's thesis will investigate and quantify the contributions of different variables to a monthly electricity consumption forecast. Previous research has identified several models that are able to accurately predict energy consumption for different time intervals, utilizing various combinations of data sources [6, 5]. In recent years, increasing interest has been shown for Machine Learning (ML) and AI solutions to energy consumption forecasting, due to their strength in handling nonlinear problems [4, 5]. However, the black-box property of many popular AI models has increased the demand of asserting confidence and transparency through means of Explainable Artificial Intelligence (XAI) [4]. This study will address this demand by using XAI methods to evaluate how different variables such as weather data, holidays, and energy prices affect the accuracy of monthly household electricity consumption forecasts. Previous research has used XAI approaches for short-term forecasting (hourly-daily), but this study will explore a novel monthly scope [2, 8, 4, 9]. The access to customer-level data in this study also provides an aspect that is underrepresented in previous works [5, 10, 9]. **RQ1: Which forecasting variables contribute significantly to the accuracy of the monthly forecast, and which variables provide little to no improvement?**

To perform the forecasting, state-of-the-art ensemble learning models will be explored. Previous studies have used ensemble learning for short-term (hourly-daily) forecasting [11, 12, 9], but this study will address the novel task of monthly forecasts using ensemble learning. **RQ2: Which state-of-the-art ensemble learning models are the most efficient for forecasting monthly electricity consumption?**]

For Umeå Energi, this research will add value by supporting customers in making informed decision about their energy consumption. According to internal customer analytics, a highly requested feature is to receive an estimation of both the electricity consumption and the electricity cost before the invoice arrives. Umeå Energi is currently in the process of launching an application for private customers. The ultimate goal is to include to monthly consumption forecasts in the application.

[Definition of short/mid/long-term forecasts]

[The contributions of this work can be summarized as follows:]

2 Theory

This chapter presents relevant theoretical background for the concepts and methodologies used in this research.

2.1 Time Series Forecasting

A time series is a set of chronologically arranged observations, generally under the assumption that time is a discrete variable [13]. In a time series with T real value samples $x_1, \ldots, x_T$, the value at time i is represented by x_i ($1 \leq i \leq T$). The problem of time series forecasting can be defined as predicting the values of $x_{w+1}, \ldots, x_{w+h}$, where w is the historical window, i.e., the number of values considered in order to produce the prediction, and h is the prediction horizon, i.e, the number of future values to be predicted. Prediction happens given the previous samples $x_1, \ldots, x_w$ ($w + h \leq T$), with the goal of minimizing the error between the predicted value $\hat{x}_{w+i}$ and the actual value x_{w+i} ($1 \leq i \leq h$) [11].

A time series may be univariate or multivariate, where univariate refers to a series with a single observation recorded over time, and multivariate refers to a series with a group of variables with interactions. Analysis of time series often begins with obtaining the underlying patterns of the observed data. The next step is fitting a model to represent the data for future predictions, which can be a complex task. The analysis of the time series is usually performed by decomposing it into three components [6, 14]:

1. *Trend* - The general movement of the variable during the observation period. Trend does not take irregularities and seasonality into account.
2. *Seasonality* - The periodic fluctuation of the variable. It includes stable effects, along with time, magnitude, and direction.
3. *Residual* - The remaining, largely unexplainable part of the time series. In some instances, this can be high enough to mask the trend and seasonality.

Both linear and nonlinear techniques may be used for solving time series problems. In linear methods, the idea is that strong correlations in the data allow for linear combinations to determine the next observation. However, the random component of the time series may prevent precise predictions. Nonlinear methods are applied in the machine learning domain to forecast future values based on a model describing the data. Machine learning solutions to forecasting problems have gained popularity, due to the fact that they are suitable both for linear and nonlinear problems [11]. Time series analysis has been extensively applied to the problem of energy consumption forecasting, especially since real-time monitoring of buildings has become more common, and the availability of recorded data has increased [6].

The scope of energy consumption forecasting problems can generally be divided into three categories; short-term forecasting (1 hour to 1 week), medium-term forecasting (1 month to 1 year), and long-term forecasting (1 year and above) [5]. [maybe move this to introduction for context]

2.2 Ensemble Learning

Ensemble learning is a family of methods that combine several machine learning algorithms to make decisions. It can be seen as the ML interpretation of "wisdom of the crowd", that is, the idea that aggregating the opinions of several individuals is better than selecting the opinion of one individual. Multiple weak learners make predictive results that are fused together via voting mechanisms, in order to achieve better performance than from any single algorithm. Any type of machine learning algorithm, e.g. decision tree, neural network, or regression model, can be used as an ensemble learner [15, 16].

According to Dietterich [17], there are three reasons why ensemble learning methods achieve good performance in machine learning. The first reason is statistical. Models can be seen as searching for the best hypothesis within a hypothesis space H. When data is limited, which it often is, the models can find several hypotheses in H that give the same accuracy on the training data. This makes it hard to choose between hypotheses, since it is unknown which one will generalize better for unseen data. Ensemble learning can help with avoiding this problem of overfitting. Secondly, ensemble learning provides computational benefits. Many models function via performing some type of local search, which may be prone to getting stuck in a local optima. A better approximation of the unknown true function may be obtained from an ensemble constructed by the local search started from many different points. The third reason is representational. In most situations, the unknown true function may not be included in H. Combining several hypotheses from H, the space of representable functions can be expanded to possibly include the true function.

Three common strategies for constructing ensembles are bagging, boosting, and stacking [9]. Bagging, or bootstrap aggregating, proposed by Breiman [18] is a method for obtaining an aggregated prediction by building multiple versions of a predictor. Bootstrapping is used to generate multiple samples of data from the original dataset, which are then used to independently train the different predictors. Majority voting is used to aggregate the final prediction [15]. The main objective of the bagging technique is to reduce the variance of a prediction model. A common example of the bagging technique is the random forest (RF) algorithm [9, 19].

In boosting, several models with individually weak predictions are aggregated to obtain a model with high accuracy. Models are trained sequentially to correct the errors of previous models. The main objective with this technique is reducing model bias [9, 19, 20]. Two examples of boosting algorithms are Gradient Boosting Machines (GBM), which uses gradient descent to minimize the loss function, and XGBoost, which is an extension of GBM focused on resource optimization and prevention of overfitting [19].

Stacking utilizes different learning algorithms called base learners to make initial predictions. These outputs are then combined via a meta-learner to make the ultimate predictions. The goal is to capture a wider range of patterns using the strength of different models, while minimizing the generalization errors [9, 19, 11]. Accuracy improvements mainly happen

when there is diversity among the individual models, since differences in generalization principles generally lead to different results [19].

2.3 Explainable Artificial Intelligence

In recent years, artificial intelligence has been widely adopted in society, and humans increasingly rely on AI as part of decision-making. Research in the field of AI has for many years focused on improving the predictive accuracy. However, the black-box nature of many AI systems creates a lack of transparency, and explaining to users how the AI systems work is highly problematic. Pressure from society, ethics, and legislation has created a demand of a new type of AI that is interpretable to users and can explain its inner functions [7, 21].

According to Saarela and Jauhiainen [22], there are two main objectives with classifiers; they should be able to make accurate predictions for new given input features, and they should be interpretable (i.e., provide explanations for how a given input relates to the output). Usually, models have a trade-off between accuracy and interpretability. Linear regression models are generally transparent and easy to understand, but their performance is often worse than more complex nonlinear models. On the other hand, the nonlinear models perform well but lack in interpretability.

Explainable AI (XAI) methods that elucidate the decision-making process have been developed to enhance the interpretability of AI models. These methods can be applied at different levels of the AI modelling. Firstly, explainability can be applied pre-modelling through means of data pre-processing and data analysis. This approach gives insights into the datasets used for training the ML models, and it can expose imbalances in the data. Secondly, the model itself can be inherently interpretable. This refers to models that have a simple structure, such as linear regression and k-Nearest Neighbors. Models like these are understandable by design, and users are able to interpret the model based on the model summary or parameters. Thirdly, explainability can be applied post-modelling to deal with the black-box problem of more complex ML models. Post-modelling methods include textual and visual justifications, simplification of the model, and feature relevance. These methods can explain how an algorithm performs during training, and how predictions are generated given a certain input. XAI approaches may be model-specific, meaning they are applied to a specific type of model, or model-agnostic, meaning they are not dependent on model architecture and can be applied for any model [7, 21].

[Ensemble models are based on the aggregation of several models, which makes it more complex to interpret the results. Post-modeling XAI methods such as simplification and feature relevance can be implemented to explain the ensemble [7].]

[Maybe have a section for local/global explanations. And model agnostic/model specific explanations.]

Feature importance is the most common explanation tool for classification models [22]. Feature importance describes how important a variable was for the model output, that is, the individual contribution of a feature, regardless of the shape or direction of the feature's effect, dependent on a particular classifier. These descriptions may be local or global, where local importance describes the feature's contribution to a specific prediction, and global importance describes the feature's contribution for the entire model [22, 21].

2.3.1 SHAP

SHapley Additive exPlanations (SHAP) is a popular method for model explainability. It is model-agnostic, meaning that it can be used for any ML model. The SHAP method has its foundation in game theory, where the contribution of each player to the total payoff is calculated. In the case of machine learning, the players are represented by features (variables) and the payoff is the model output. To calculate the contribution score for each feature, all different combinations of features (i.e., coalitions in game theory) are evaluated. The importance of feature i, I_i (for $i = 1, \ldots, n$), can be calculated according to Equation 2.1, where $\phi_i^{(j)}$ is the marginal contribution of feature i compared to j. SHAP can be used to explain model outputs both locally and globally, i.e., both for specific instances and for all instances [23, 10].

$$I_i = \sum \left| \phi_i^{(j)} \right| \tag{2.1}$$

When using SHAP for model explanations, it is important that users are aware of some important considerations of the method. Firstly, the SHAP method is model-dependent, meaning it can produce different explanations for the same task when different models are applied. Secondly, the explainability scores assigned to features do not represent the weights of the features. Rather, the explainability lies in the ranking of the features, meaning that feature importance is deduced from the ordering. Thirdly, it is assumed that the features are independent of each other. Therefore, some features that are correlated with other features may receive low scores even though they contribute significantly to the output. This is because the correlated features have already accounted for the impact of the low-scoring feature. Lastly, if SHAP is applied to a biased classifier (e.g. due to data bias or algorithmic bias), the method may produce unrealistic explanations that do not describe the bias. Because of these points, it is crucial to present SHAP results in an informative way by including corresponding output plots and assumptions behind the method [23].

3 Previous Work

Research in the field of electricity consumption forecasting has established many methods for producing forecasts. These methods can roughly be divided into two categories; conventional methods and AI-based methods. Conventional methods such as time series analysis and regression methods have previously been widely applied to solve the problem of electricity consumption forecasting. Nowadays, AI-based methods are more popular due to their strength in solving nonlinear problems, something that the conventional methods struggle with [5].

[Two comprehensive reviews on electricity consumption forecasting have been identified:

- An extensive review and comparison of both statistical and ML/DL techniques for forecasting is found in [6]. They also review combinations of different techniques, i.e. hybrid models. Claims that ANN has more advantages than statistical models, and has better performance for nonlinear problems. Highlights that hybrid models can be beneficial to capture complexities in building energy and operational data.
- Another review of statistical, AI, and hybrid methods for forecasting is found in [5]. They also highlight the strength in AI models for dealing with nonlinear patterns. Claims that hybrids between AI and Swarm Intelligence (SI) methods show potential for increased accuracy. Provides a clear overview of different studies regarding prediction time intervals, included features, building types etc.]

3.1 Machine Learning Approaches?

[Forecasting daily cooling energy using ANN (for three university buildings): [24]]

3.2 Monthly Forecasting

[Could possibly use [25] as an "early" example of monthly forecasting. They use SVM, but do not handle seasonality in any certain way.]

Forecasting electricity consumption in the monthly scope requires handling complex nonlinear patterns and seasonal tendencies [26]. Monthly consumption is affected by factors such as economy, temperature, and season, which makes the consumption exhibit a mixture of trend, periodicity, and randomness [27]. Additionally, when predicting the consumption of small-scale users, like in this thesis, the power demand is more sensitive to random factors. Human behavior may change periodically, both due to social factors such as holidays and summer vacations, and due to natural factors like the seasons [28].

To address the seasonality of monthly forecasting, models incorporating seasonal indexing (SI) have been proposed. Cao and Wu [26] aimed to improve monthly electricity consumption forecasts using support vector regression (SVR) in combination with SI and a novel evolutionary algorithm called fruit fly optimization (FOA). They calculated the seasonal index for each month, which was then used to adjust the predicted values according to the seasonal tendencies. FOA was applied to find the best values for parameters of the SVR model. Their results showed that both SI and FOA was able to effectively improve the forecasting accuracy, suggesting that the hybrid approach is a viable option for monthly forecasting.

Tang et al. [27] proposed a model specifically designed to handle sparse data with periodic properties. Their model also incorporated SI to address the seasonal component. A GM(1,1) gray model, a mathematical optimization model for incomplete data, was used to predict the seasonal index. The SI was combined with a trend forecast value to obtain the final prediction, and results showed that the model significantly improved accuracy, even for small electricity consumption datasets.

Sun et al. [28] approached the monthly forecasting problem by seasonal and trend decomposition of the electricity load time series, in combination with Auto-regressive Integrated Moving Average (ARIMA). This technique allowed for control of both the seasonal component's change rate and the trend component's smoothness, as well as increased robustness to outliers. Additionally, they incorporated economic factors into the forecast to improve accuracy. They found that the proposed model was able to increase forecasting accuracy, and determined that both the decomposition approach and inclusion of economic variables were effective to the forecast.

3.3 Ensemble Learning Approaches

Ensemble learning has previously been applied for the task of electricity consumption forecasting, mostly in the short-term scope. Divina et al. [11] proposed a stacking ensemble learning approach for short-term forecasting of Spain's general electricity consumption. They used a two-layer approach based on a bottom and a top layer. The bottom layer consisted of three base learning methods; regression trees based on evolutionary algorithms, Artificial Neural Network (ANN), and Random Forest (RF). The top layer used Generalized Boosted Regression Models (GBM) to combine the predictions of the base learners, and produce the final predictions. They found that the combination of weaker learning methods was able to produce superior results compared to several baselines, showing that ensemble learning is suitable for short-term electricity consumption forecasting. Neural networks were able to predict with high accuracy in the very near future, but accuracy declined when predicting further in the future. The ensemble method also showed significantly better performance compared to baselines when the amount of historical data was small, indicating that ensemble methods may be more flexible for different quantities of data.

Pinto et al. [12] also utilized ensemble learning for forecasting electricity consumption in the short-term. Using consumption data from an office building, along with other variables such as temperature and humidity, they predicted hour-ahead consumption with three different ensemble methods. These methods were random forests, gradient boosted regression trees (GBR), and AdaBoost. They found that ensemble learning methods, especially

AdaBoost, outperformed benchmark models such as support vector regression and fuzzy rule-based methods. They highlight including temperature and humidity information as advantageous to the forecasts, and they suggest that future work should consider additional external variables such as solar irradiation and thermal sensation.

Khan et al. [29] presented a stacking deep learning ensemble for short-term forecasts. The lowest level of the ensemble was compromised of multiple individual Long Short Term Memory (LSTM) models responsible for producing outputs. The top level of the ensemble was a Gated Recurrent Unit (GRU) responsible for increasing accuracy by combining outputs from the previous layer. They also utilized clustering to identify customer groups with similar profiles and load patterns. Based on hourly residential consumption data, they predicted hourly, daily, and weekly consumption, and found that the proposed model outperformed benchmark deep learning models. The clustering of customers helped with reducing model errors. Additionally, it was found that their model performed best for hour-ahead forecasts, while errors increased when approaching the weekly scales.

Hadjout et al. [30] used an ensemble deep learning approach to forecast monthly electricity consumption for high voltage customers in the Algerian economic sector. They utilized three different deep learning models - LSTM, GRU, and Temporal Convolutional Networks (TCN) - and grid search to find optimal weights for each model in the final ensemble prediction. Compared to the individual models separately, the ensemble approach performed significantly better according to MAE and MAPE metrics.

Long-term forecasting using ensemble learning has been researched by Chen et al. [31]. They predicted the annual electricity consumption for American households using extreme gradient boosting forests and deep networks as base learners, and ridge regression as a combiner method. The data included variables pertaining to household demographics, household type, appliances, and geographical data, providing a wide range of information. The ensemble framework was able to reduce errors by 30% compared to classical regression models such as linear regression and support vector machines. Investigation into the importance of input features using principal component analysis showed that electricity price, number of rooms, natural gas usage, and temperature during summer were among the variables that contributed the most information. They also note that some features, like number of rooms, number of bedrooms, and total square footage, have a strong correlation and have potential to be represented more efficiently. They argue that feature selection is necessary, since discarding of unimportant features can enhance model performance.

3.4 Explainable AI Approaches

Explainable AI methods have previously been applied for the task of short-term electricity consumption forecasting. Sim et al. [2] proposed a novel XAI approach for variable selection in energy consumption forecasting. They analyzed the influence of 15 different input variables pertaining to time information, climate data, and past energy consumption data. LSTM was selected as prediction model and SHAP was used to interpret the variables. The findings showed that time data such as year and hour had a strong influence on the prediction results, along with temperature, surface temperature, and energy-consumption-difference. Variables with a weak or ambiguous influence included humidity, wind speed, and sunshine amount. They concluded that forecasting performance can be significantly improved by

selecting high-impact variables based on XAI analysis.

Maarif et al. [8] investigated the effect of 9 different features on energy consumption forecasting for a South Korean steel company. The features provided information about historical consumption, lagging and leading current power, carbon dioxide emissions, and load type. They utilized various LSTM models to make hour-ahead forecasts, and they used SHAP for the XAI analysis. It was found that leading current reactive power and seconds from midnight strongly influenced the model output, while CO_2 and load type had no effect on the forecast. They note that it is important to consider interpretability and performance trade-offs when developing XAI forecasting models, and that further research into this topic is needed for understanding the applicability of these models in the energy sector.

Januja et al. [4] maybe, but not reputable journal.

Another hourly electricity consumption forecasting study was performed by Lazzari et al. [10]. They provided a novel perspective by incorporating user behavior to enhance the accuracy of residential energy consumption forecasting. User behavior clusters were identified, and the day-ahead behavior was predicted using an XGBoost model. The predicted behavior, along with historical consumption, was then provided to an ANN model responsible for predicting the hourly day-ahead consumption. Compared to an ANN without the user behavior input, the proposed model was able to reduce MAPE and NRMSE by 7% and 9% respectively. A feature importance analysis using SHAP showed that calendar variables, namely week and season, had the greatest importance for the model. Temperature, notably minimum and maximum daily temperature, also had a large influence on model output.

Moon et al. [9] utilized ensemble learning and XAI methods for short-term residential building electricity consumption forecasting. They performed an extensive comparison between five ensemble learning models and ten deep learning models. It was found that the decision tree-based ensemble methods were superior in handling diverse and noisy data, rendering them useful for electricity consumption forecasting. They highlight robustness, interpretability, and efficiency as advantageous characteristics in ensemble models. They argue that ensemble models can handle data that is not extensively preprocessed and that they require less data than deep learning models. A feature importance and SHAP analysis was performed on several ensemble models, revealing that temperature-humidity index and wind chill temperature had significant importance for the forecasting. The SHAP analysis combined with the decision tree-based models provided interpretive insights about complex interactions in the data.

XAI approaches have also been applied to long-term forecasting [32]. Chakraborty et al. [33] predicted long-term cooling energy consumption for residential and commercial buildings under different climate change scenarios. They used SHAP to explain the results and concluded that the XAI method increased the interpretability of the XGBoost prediction model. Another long-term study was conducted by Wenninger et al. [34], who predicted the annual energy consumption for German households, and proposed a novel QLattice model for enhanced explainability. They found that the QLattice model was appropriate for the task of energy consumption forecasting, even though XGBoost achieved slightly better predictive performance. However, a significant strength with the QLattice algorithm is its transparent design, which was found to greatly increase the model explainability compared to established models such as ANN, XGBoost, and Support Vector Regression (SVR).

[With this, it is clear that there is a gap in research on XAI for medium-term forecasting.

And in general, the consensus is that more research in the XAI field in the energy sector is needed (?)]

4 Methodology

4.1 Project Plan

To answer the research questions, a methodology established by Moon et al. [9] will be used. Some modifications to their method will be made in order for it to be tailored to this study's data and the monthly forecasting scope, e.g. adjusting the time ranges for which training and testing data is collected.

4.1.1 Data and tools

Forecasts will be based on historical consumption data from Umeå Energi and external variables. The consumption data is in form of time series data from 16000 customers over roughly three years on a 15-minute level. Some customers may not have data for all three years. Other variables such as weather data, calendar information, and electricity prices will be retrieved from Open APIs.

4.1.2 ML methods

To solve the research questions, state-of-the-art ensemble learning models previously used for short-term (hourly - daily) forecasting will be explored. Moon et al.'s work [9] will be an important reference for selecting models. The XAI method SHAP will be used explain variable contributions to the forecast. The monthly scope may have different importance for certain variables compared to the short-term forecasts.

4.1.3 Main methodological steps

- **Literature study**: Review existing work in the field of electricity consumption forecasting, in order to gain valuable theoretical background and insights on ensemble learning and XAI techniques for electricity consumption forecasting.
- **Data preparation**: Retrieve 15-minute level electricity consumption data, as well as relevant external data sources (such as weather data, calendar data, and electricity prices). Perform data analysis and pre-processing. Pre-processing includes transforming one-dimensional variables such as weekdays/holidays to two dimensions, assigning numerical values to string parameters, and calculating weather indices [9].
- **Model implementation**: Implement ensemble learning forecasting models based on the consumption data and the external sources. Optimize hyperparameters.
- **Model evaluation**: Use MAPE, CVRMSE, and NMAE metrics to evaluate the performance of ensemble learning models [9].

- **Evaluation of data sources**: Analyze and evaluate how the different data sources contribute to the accuracy of the forecasts using the Explainable AI method SHAP. This will enhance model interpretability [9].

4.1.4 Evaluation Methods

Evaluation will, as mentioned above, be performed for the models' performance and the variables' contributions. As a baseline comparison, an existing linear regression electricity consumption model (based on Umeå Energi historical monthly consumption and temperature data) will be utilized. Further comparisons will be made to previous works, particularly Moon et al.'s [9] work.

- Make correlation maps for the features.
- Boxplot and histogram for general consumption, boxplots per month (like in [29] and 30 in [9]), and possibly by week
- It is also possible to make diagrams for the decomposition of the time series [33].
- Could investigate correlation between external variables and consumption like in [24]
- Could I incorporate seasonal index? [26] shows how to calculate SI
- Could I do group clustering for consumers? [29]

4.2 Data Preparation and Analysis

This study utilizes a dataset of 15-minute level electricity consumption from x Swedish households, containing Y years of measurements retrieved from 20YY-MM-DD to 20YY-MM-DD. This data is provided by Swedish electricity company Umeå Energi. As part of enhancing the explainability of the forecasts, the data is analyzed initially to gain statistical insights.

[Plot showing consumption, discuss seasonality]

Along with the historical consumption data, external variables are retrieved from SMHI and .... SMHI weather data is retrieved from 2023-10-01 to 2025-10-31 for the Umeå Airport measurement station. Variables pertaining to solar attributes are retrieved for the Umeå Sol station. Snow depth and surface condition variables are from Umeå Röbäcksdalen.

In [9], they calculated sine/cosine values for timestamps, maybe I should do the same.

Could be relevant to include some variable(s) of minimum and maximum temperature? As in [10]

Table 1 Selected input variables.

Variable	Description	Data Type
$Month$	Month of the year	Timestamp (numeric)
$Year$	Year	Timestamp (numeric)
$Holidays$	Number of holidays and weekend days during month	Numeric
$BridgeDays$	Number of bridge days during month	Numeric
$Temp_h$	Hourly air temperature (°C)	Weather condition (numeric)
$DewPT_h$	Hourly dew point temperature (°C)	Weather condition (numeric)
($Precip_h$)	Hourly precipitation (mm)	Weather condition (numeric)
($PrecipInt_{15}$)	15-minute precipitation intensity, max of average (mm/s)	Weather condition (numeric)
$Snow_d$	Daily snow depth (m)	Weather condition (numeric)
$Surface_d$	Daily surface condition	Weather condition (categorical)
$DewP_h$	Hourly relative dew point (%)	Weather condition (numeric)
$WindD_h$	Hourly wind direction (°C)	Weather condition (numeric)
$WindS_h$	Hourly wind speed (m/s)	Weather condition (numeric)
($Cloud_h$)	Hourly total cloud amount (%)	Weather condition (numeric)
($CloudSig_h$)	Hourly significant clouds (m)	Weather condition (numeric)
$CloudBase_h$	Hourly lowest cloud base (m)	Weather condition (numeric)
$GlobalIrr_h$	Hourly global irradiance (Sweden) (W/m^2)	Weather condition (numeric)
$SolarIrr_h$	Hourly long wave irradiance (W/m^2)	Weather condition (numeric)
$SunT_h$	Hourly sunshine amount (s)	Weather condition (numeric)
$AirP_h$	Hourly air pressure (hPa)	Weather condition (numeric)
$Visibility_h$	Hourly visibility (m)	Weather condition (numeric)
$Weather_h$	Hourly weather status	Weather condition (categorical)
$Cons$	a	Historical consumption (numeric)
$Cons$	b	Historical consumption (numeric)
$Cons$	c	Historical consumption (numeric)

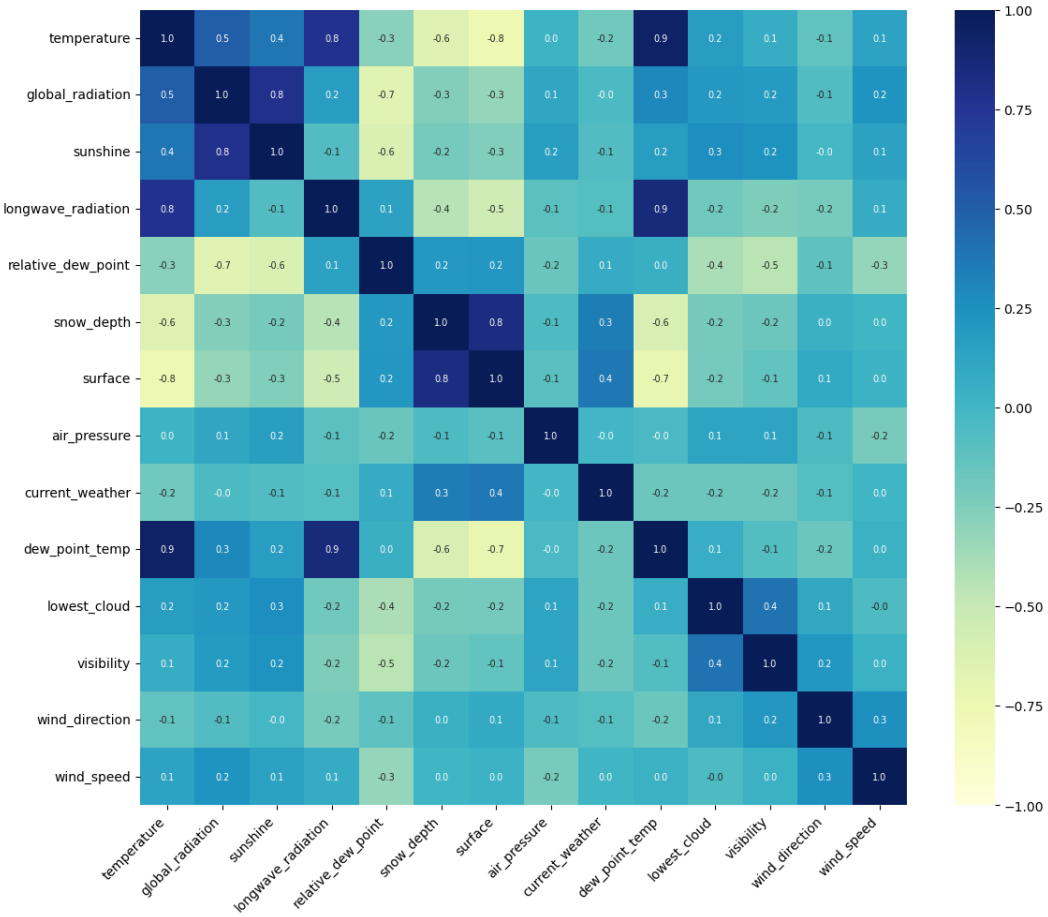

Figure 1: Correlation map of weather variables [placeholder].

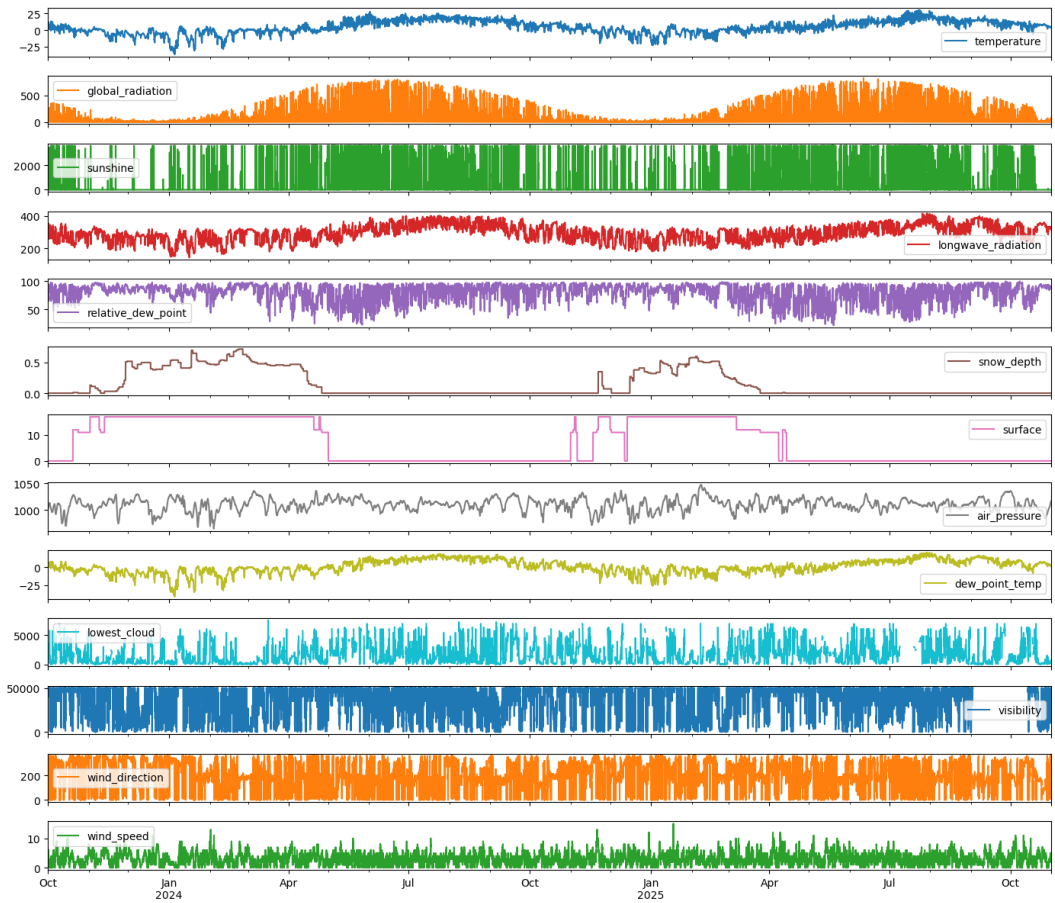

Figure 2: Weather variables plot over two years [placeholder].

[Describe how the consumption data is preprocessed. Adding lag features, deleting any customers that have less than 10 kWh consumption at any point]

4.2.1 Customer Clustering Using K-Means

[Somewhere I need to specify that by customer, I actually mean customer + facility combination (one customer can have several facilities, and these are treated uniquely)]

Since there are many customers in the electricity consumption data, it is relevant to group customers with similar consumption patterns. The idea is to identify groups where the similarity within the group is higher than that among the groups [29]. K-Means clustering is one of the most popular algorithms for solving this problem in a simple way. K-Means is an unsupervised learning algorithm, where the main idea is to select k centroids, one for each cluster, and place them as far from each other as possible. The next step is to associate each point in the dataset with the closest centroid. After associating all points, the k centroids are recalculated by averaging the points within each cluster. This process is repeated until the centroids no longer move. Formally, the algorithm aims at minimizing the squared error function $W(S,C)$ defined in Equation 4.1 [35].

$$W(S,C) = \sum_{k=1}^{K} \sum_{i \in S_k} \|y_i - c_k\|^2 \tag{4.1}$$

In the equation, S is a partition of k clusters represented by observations in the form of vectors y_i. Each cluster S_k is non-empty and non-overlapping, and has a centroid c_k ($k = 1, 2, \ldots, K$).

In these experiments, K-Means clustering is applied to define customer groups based on their electricity consumption. The elbow method is used to find an optimal number of k, i.e. the number of clusters. The elbow method is a visual method, where different values of k are plotted against the variance within the clusters [36]. As the value of k increases, the average variance becomes smaller. The goal is to find a value of k for which the variance stops decreasing sharply, that is, the elbow of the graph. Figure 3 shows the elbow plot for determining the optimal number of customer groups, in this case $k = 3$. This results in three customer groups; low consumption, medium consumption, and high consumption. Each customer in the dataset is assigned a label based on the cluster it belongs to, and this label becomes an input feature for the forecasting models.

Figure 3: Elbow plot for finding the optimal number of customer profile clusters k.

4.3 Ensemble Learning

Forecasting is performed using different decision tree-based ensemble learning models. Decision trees classify data items by asking a sequence of questions about the items' features. The nodes of the tree contain questions, and for each possible answer, every internal node points to one child node. The sorting of an item into a class begins from the root of the tree, and according to the item's answer to the questions, it follows the path to a leaf node [37]. [Possibly a diagram of a decision tree] One large advantage with decision trees is that they are considerably easier to interpret than neural networks, as they follow logical rules instead

of having connections with numeric weights between nodes. Decision trees perform well for a few highly relevant attributes, but not as well if there are many attributes with complex interactions. Ensembles of decision trees can be employed to increase accuracy when the training data is more complex and changing [38]. Decision tree-ensembles are considered among the most reliable and precise methods for regression and classification tasks, and they have been shown to be effective for predicting energy consumption [9]. However, one disadvantage is that the interpretability decreases when multiple classifiers are involved, making it more difficult to understand the reasoning behind the ensemble's decision [38]. This creates a need for model explainability outside the ensemble's inner workings, which in this thesis is addressed by applying explainable AI. [move to theory?]

Five decision tree-based ensemble models are selected as forecasting models, as in [9]; random forest (RF), gradient boosting machine (GBM), extreme gradient boosting machine (XGBoost), light gradient boosting machine (LightGBM), and categorical boosting (CatBoost). [GBM and CatBoost were best, so focus on them first]

Gradient boosting machines are a family of ML algorithms where the learning process consecutively fits a new tree with the goal of reducing the errors of the previous one. This is done by constructing new base-learners that are maximally correlated to a decreasing loss function. The loss function can be of various kinds, which makes GBM highly flexible for different data-driven tasks. It is up to the model designer to choose the most appropriate loss function [39]. GBM is able to learn complex patterns and interactions in the data due to its iterative learning process [9]. [Possibly a diagram showing its structure]

CatBoost is a gradient boosting algorithm that uses a technique called *ordered boosting* to reduce prediction shift caused by target leakage which occurs in other gradient boosting algorithms. CatBoost also encodes categorical features uniquely, by applying a technique called *ordered target statistics* to handle high cardinality features [40]. Because of this, CatBoost is able to achieve high accuracy, especially when the data contains a significant number of categorical features [9]. [Possibly a diagram showing its structure]

4.4 Evaluation Metrics

To evaluate the predictive performance of the forecasting models, three statistical metrics are used; mean absolute percentage error (MAPE), coefficient of variation of the root mean squared error (CVRMSE), and normalized mean absolute error (NMAE). MAPE is one of the most common metrics to evaluate forecasting accuracy, due to its scale-independence and interpretability. It defines the average of the absolute percentage errors, as in Equation 4.2. One disadvantage to be aware of is that MAPE yields infinite or undefined values when the actual values are zero or close to zero [41]. [Maybe use RSME and MAE instead?]

These metrics express the performance in error percentage, making them intuitive to interpret.

$$MAPE = \frac{1}{n} \times \sum \left| \frac{Y_t - \hat{Y}_t}{Y_t} \right| \times 100 \tag{4.2}$$

$$CVRMSE = (\sqrt{\frac{1}{n} \times \sum (Y_t - \hat{Y}_t)^2})/\ddot{Y} \times 100 \tag{4.3}$$

$$NMAE = (\frac{1}{n} \times \sum \left|Y_t - \hat{Y}_t\right|)/\ddot{Y} \times 100 \tag{4.4}$$

In the equations, Y_t denotes the actual observed value at time t, while $\hat{Y}_t$ denotes the predicted value at time t. $\ddot{Y}$ represents the mean of all observed values, and n is the total number of prediction instances.

To evaluate the models in a more comprehensive way, the harmonic mean (HM) is calculated based on these three metrics. The harmonic mean will favor models that perform well in all three metrics, while models that perform exceptionally well in one metric but poorly in the others will be valued less. This is due to the harmonic mean being effective at mitigating extreme outliers, making it suitable for combining differing metrics [9]. The HM is calculated as in Equation 4.5.

$$HM = \frac{3}{(1/MAPE) + (1/CVRMSE) + (1/NMAE)} \tag{4.5}$$

4.5 Explainable AI

To enhance the interpretability of the forecasts and investigate feature importance, a SHAP analysis is performed. [Explain SHAP for ensemble models specifically, like in [9]] [beeswarm plot, feature importance plot]

4.6 Experimental Setup

5 Results

6 Discussion

7 Conclusion

7.1 Future Work

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A First Appendix

If any.